University of South Carolina
Garnet Fund

Long: Roku Inc. (NASDAQ:ROKU)

Closing Price on 2/6/25: **$81.08**
Price Target: **$98.91** (+22.0%)

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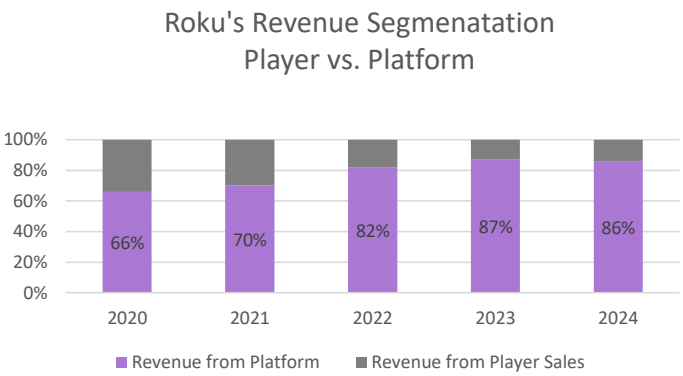
Current Situation

Company Overview

Roku, Inc. (NASDAQ: ROKU) is a leading streaming platform and smart TV operating system provider. It monetizes through advertising, content distribution, and device sales. Roku's ecosystem includes The Roku Channel, an ad-supported streaming service, and a growing international presence

Business Model Changes



Roku's revenue has increasingly shifted toward its platform segment, which generates revenue through advertising rather than product sales. We believe this trend will continue, further strengthening Roku's profitability

CTV Overview

The Connected TV (CTV) market is experiencing rapid growth, driven by the shift from traditional cable to streaming and the increasing adoption of smart TVs. The global CTV advertising market is projected to grow at a **CAGR** of around **16.5%** over the next few years, fueled by rising digital advertising spending and the expansion of ad-supported streaming services

CTV Stats

90.3%	Viewability rates, outperforming mobile ads
88.0%	Of U.S. Households own at least one CTV device in 2024
65.1%	Of marketers consider CTV a performance channel

Why can Roku capitalize?

Roku's sole focus on CTV gives it an edge over big tech competitors, for whom streaming is secondary. This positioning allows Roku to capitalize on winner-take-most dynamics, leveraging scale, content partnerships, and advertising optimization for sustained growth

Competitive Landscape

Recent Updates

Strategic Marketing

- Roku City is a **passive yet powerful branding tool** that keeps users engaged while their devices are idle. Its vibrant, evolving cityscape has become an iconic part of the Roku experience, reinforcing brand identity without traditional ads
- The screensaver creates organic marketing opportunities by subtly integrating movie and show promotions. Roku can monetize Roku City further by adding **interactive elements or branded partnerships** without disrupting user experience
- No other streaming platform has a feature that is comparable to Roku City, giving it a unique competitive edge. Its viral appeal on social media drives free engagement and strengthens user retention within Roku's ecosystem

Bullish News

Advancements in Advertising & Monetization

- Launch of Roku Data Cloud → Better ad targeting = Higher CPMs & ARPU
- New Ad Partnerships with Omnicom, PMG, Yahoo DSP, iSpot.TV → Boosting advertiser demand & ad efficiency
- Home Screen Video Ads → New high-visibility ad slots increasing revenue per user

Market Sentiment & Financial Strength

- Stock up 11% in January, reflecting stronger investor confidence
- Options Market Shows Bullish Flow → 21,000+ call contracts traded, signaling positive sentiment
- Ad Revenue & Streaming Hours Rising → Roku is gaining momentum in the CTV ad space

Expanding Content & Live Sports Offering

- Pro Volleyball Federation (PVF) Partnership → First women's pro sports deal, streaming 20+ live matches in 2025
- X Games Streaming Rights → Roku now exclusive U.S. streaming home for X Games Aspen 2025.
- More Free Content → Roku Channel continues to grow with new FAST channels & exclusive shows

Analyst Upgrades Reflect Growing Confidence

- Baird upgrades Roku to "Outperform" and raises price target from $70 → $90 ,21% upside (2024)
- Morgan Stanley & Other Firms increase target prices, signaling strong institutional confidence.
- Stock jumped 7% in a day following analyst revisions

Executive Summary

Market Data & Valuation

Price Target:	**$98.91**
Potential Upside:	**+22.0%**
Current Price:	**$81.08**
Market Cap:	**$12.02B**
52-wk Range:	**$48.33 – $99.80**
Beta:	**2.12**

Bear/Bull Case Theory

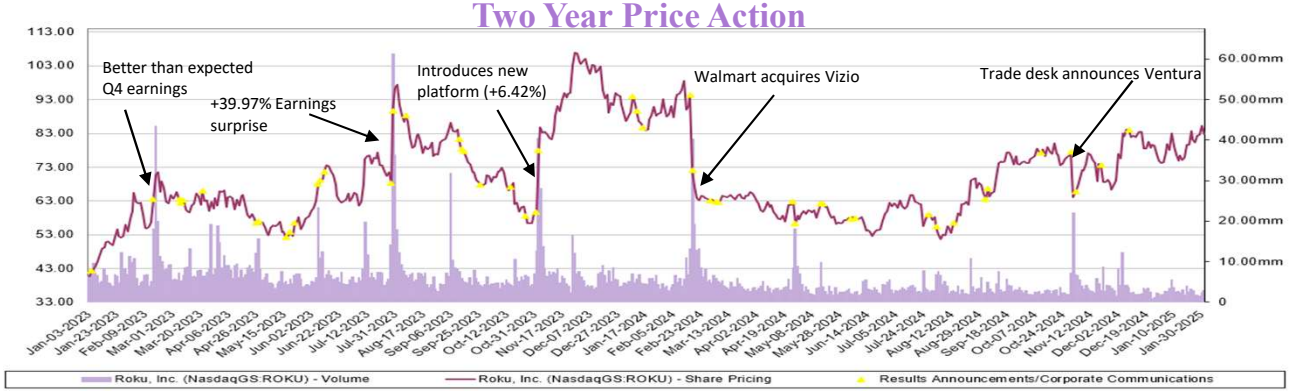
- Big tech proves too much for Roku to handle resulting in loss in market share
- Loss of popularity leads to increased price in content rights

- Roku's Ad driven revenue streams significantly improve margins overtime
- Improved Ad targeting leads to increased CPMS

Thesis Overview

- **Core Strength**: Roku generates the majority of its revenue through advertising, which is rapidly shifting toward Connected TV (CTV). Advertisers are following audiences to streaming platforms, and Roku's platform is a key gateway for millions of viewers
- **Competitive Advantage**: Roku offers robust advertising solutions, including its proprietary OneView advertising platform, which is built to optimize for performance across CTV and traditional digital channels. This positions Roku well against competitors like Amazon Fire TV and Google Chromecast
- **Margin Expansion:** The current share price underestimates when Roku will become profitable largely due to a misunderstanding of its shifting revenue streams. We believe that Roku will be able to grow revenue significantly without proportional increases to operating expenses, with it becoming profitable in 2026

Two Year Price Action



We believe shares of **Roku (NASDAQ: ROKU)** present a compelling long-term opportunity, driven by its dominant position in the **Connected TV (CTV) ecosystem**, robust **advertising revenue model**, and **strategic partnerships** with TV manufacturers. As traditional linear television declines, **Roku's first-mover advantage** and **high-margin advertising business** position it as a key player in the streaming revolution.
The street underestimates **Roku's advertising potential**, particularly through **OneView**, its proprietary advertising platform. We believe **sell-side research fails to capture the full impact** of OneView's enhanced user interface, **first-party data integration**, and **advanced forecasting tools**, which provide Roku with a competitive edge against Amazon Fire TV and Google Chromecast.
Furthermore, Roku's **market leadership in CTV OS adoption** strengthens its long-term growth trajectory. The structural shift toward **CTV advertising** is accelerating, and Roku is poised to **capture an outsized share of ad dollars migrating from linear TV**. Our thesis reflects a **long-term fundamental hold** with significant upside as the platform continues to scale and optimize monetization.

Current Price Undervalues Roku

Insufficient Depth from Analysts

Of the eight most recent market reports, only one mentions Roku's differentiated ad platform and their commission-based revenue. We believe that advertising is Roku's primary driver, but it is not fully understood by analysts who are comparing it too closely Netflix, Disney+, and more media-focused firms

87.5% | Of recent sell-side theses only mention Roku's streaming dominance and tailwinds for the industry

ROKU Analyst Ratings	
Total Ratings	33
Buys %	45.5%
Holds %	42.4%
Sells %	12.1%
Rating	3.61
Average Target Price	**85.43**
Median Target Price	**83.50**

Analysts still have relatively strong valuations without fully considering Roku Cloud and continuously improving personalization of advertising

Reverse DCF Model ($ in millions)			Year 2024	Year 2025	Year 2026	Year 2027	Year 2028	Year 2029	Year 2030	Year 2031
Revenue			$3,896	$4,401	$4,972	$5,617	$6,345	$7,168	$8,097	$9,147
% Growth Rate	*% 5-Year CAGR*	*12.97%*		*13.0%*	*13.0%*	*13.0%*	*13.0%*	*13.0%*	*13.0%*	*13.0%*
EBIT			($210)	($128)	($20)	$208	$622	$1,097	$1,636	$2,351
% EBIT Margin			***(5.4%)***	***(2.9%)***	***(0.4%)***	***3.7%***	***9.8%***	***15.3%***	***20.2%***	***25.7%***
Less: Taxes	% Tax Rate	10.0%	21.0	12.8	2.0	(20.8)	(62.2)	(109.7)	(163.6)	(235.1)
NOPAT			($189)	($115)	($18)	$187	$560	$987	$1,472	$2,116
% NOPAT Margin			*(4.9%)*	*(2.6%)*	*(0.4%)*	*3.3%*	*8.8%*	*13.8%*	*18.2%*	*23.1%*
Plus: D&A	% Capex	95.0%	56	63	71	80	90	102	115	130
Less: Capex	% Revenue	1.5%	(58)	(66)	(75)	(84)	(95)	(108)	(121)	(137)
Less: Change in NWC	% Revenue	(0.5%)	(19.5)	(22.0)	(24.9)	(28.1)	(31.7)	(35.8)	(40.5)	(45.7)
Free Cash Flow to Firm (FCFF)			($212)	($140)	($46)	$155	$523	$946	$1,425	$2,063
Discount Factor	% WACC	12.0%		1.0	2.0	3.0	4.0	5.0	6.0	7.0
Present Value of FCFF				($125)	($37)	$110	$332	$537	$722	$933

Implied Reverse DCF Valuation	
Present Value of FCFFs	$2,472
Long-Term Growth Rate	3.0%
Final Year FCF × (1 + g)	$2,125
Terminal Value in Final Year	$23,610
Present Value of Terminal Value	10,679.9
Total Enterprise Value (TEV)	**$13,152**
Less: Net Debt	(1,513.8)
Equity Value	**$11,639**

Share Price Calculation	
Diluted Shares Outstanding (mm)	145.2
Implied Share Price	$81.08
Current Market Share Price	$81.08
Implied Growth Rate	**12.97%**

Not profitable until 2027?

What are you getting for $81.08?

- The top streaming television provider not becoming profitable for another three years despite consistent recent margin expansion
- An underestimate of how Roku's expanding consumer base will generate revenue from its 20% commission on all sales made in-app
- Overestimation of competition from tech giants in a space they do not seem overly excited about

Thesis 1: Advertising Superiority

Platform	CPM Lower Range	CPM Upper Range	Average CPM	Skippable	Exposure (Seconds)	Average Exposure
Roku	8.0	22.0	**15.0**	No	15/30	22.5
Other platforms on Roku	10.0	30.0	**20.0**	No	15/30	22.5
Local TV	5.0	10.0	7.5	No	30	30.0
National TV	20.0	44.2	32.1	No	30	30.0
Facebook	7.2	13.8	10.5	Yes	2	2.0
Instagram	4.0	8.0	6.0	Yes	2	2.0
Youtube	4.0	12.0	8.0	Yes & No	5/15	10.0

Inaccurate Comparable

Most valuations consider Roku's advertising in the same sphere as fully online platforms such as Hulu and YouTube. This assumption results in Roku appearing undifferentiated in terms of advertising accuracy and frequency of exposure, when in reality this is not the case. We believe that Roku is a unique advertising case and should be treated as operating between virtual and traditional television.

Superior Quality to Online Platforms

Consumers are exposed to Roku's advertisements for significantly longer than they are to those of social media platforms, as they cannot simply skip or scroll past like is typical for Facebook, Instagram, YouTube, and others. This results in an improved opportunity to appeal to consumers, which is attractive for brands, especially those needing to convey a message rather than simply showcase a product, which leads to Roku's significantly higher cost per impression.

Better Positioned than Traditional Platforms

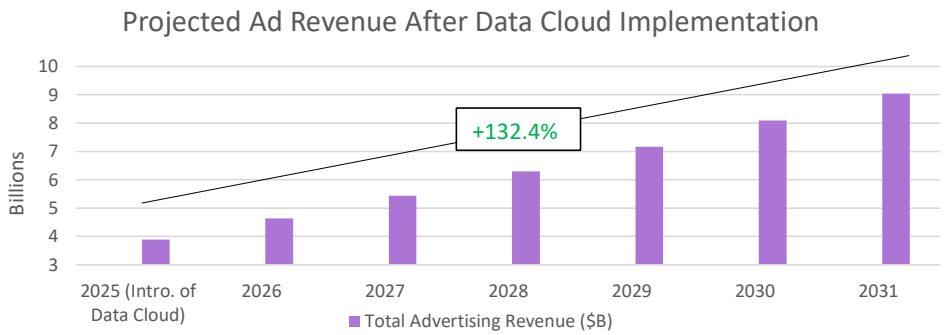
Although at first glance it appears that television advertisements are superior to those of Roku, this is not the case. First, it is relatively difficult to target consumers with specific advertisements, which Roku can do easily. Similarly, connected television is continuing to capture a significant amount of the market from cable and broadcast, which we believe will result in continuous diminishing of users and therefore marketing revenue. Finally, Roku advertisements are significantly more accessible to buyers of various budgets, generating more sales.

Thesis 1: Roku's Data-Driven Advertising Value

Roku's Data Cloud

- Roku launched Roku Data Cloud, a new data solution suite designed to enhance advertiser accountability, campaign optimization, and measurement transparency
- The platform allows advertisers, agencies, and partners to access and leverage Roku's proprietary TV data for more precise audience targeting
- Increased Monetization of User Data: By leveraging proprietary TV viewership data, Roku can sell premium ad placements and create more effective audience segments, enabling advertisers to achieve higher conversion rates and better ROI, leading to greater ad spending on Roku's platform

Roku Marketing Portfolio

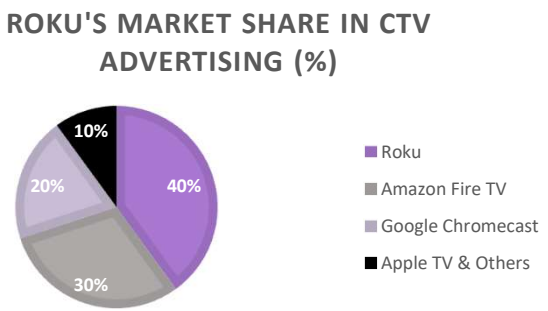


Average Ad Revenue Per User (ARPU)	39.9	42.1	44.1	46.0	47.6	49.3	51.0
% Growth	*5.50%*	*5.50%*	*4.75%*	*4.25%*	*3.50%*	*3.50%*	*3.50%*
Active Accounts	97.47	110.1	123.4	136.9	150.6	164.2	177.3
% Growth	*14.0%*	*13.0%*	*12.0%*	*11.0%*	*10.0%*	*9.0%*	*8.0%*
Total Advertising Revenue	3891.0	4638.7	5442.1	6297.4	7169.6	8088.4	9041.2

- **Pre-Data Cloud Revenue Baseline:** In 2024, Roku's advertising revenue was approximately $2.5 billion
- **Post-Data Cloud Revenue Projection:** By leveraging improved ad targeting and measurement through the Data Cloud, Roku's advertising revenue is projected to reach $9.04 billion by 2031
- **Projected Increase Post-Data Cloud Implementation:** With the launch of the Roku Data Cloud in January 2025, the company anticipates enhanced advertising capabilities, leading to an estimated revenue increase
- **Percentage Growth:** This represents a significant 132% increase in advertising revenue following the Data Cloud's implementation
- **Industry Context:** The connected TV (CTV) advertising industry is projected to grow by 16.5% year-over-year until 2031, reaching $33 billion. Roku's advancements position it to capture a substantial share of this expanding market

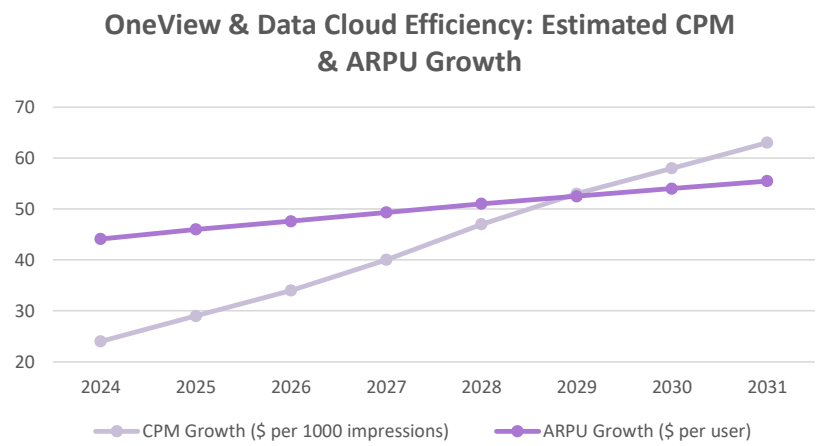
Thesis 2: Market Share & Monetization Growth

Ad Based Market Share



- The **CTV advertising market is expected to grow** from $27B in 2024 to $45B by 2027. Roku's stronghold in this space positions it to capture a disproportionate share of advertisement dollars migrating from traditional TV
- Unlike Amazon and Google, **Roku's ad business is built on proprietary first-party TV data**, offering better targeting, higher CPMs, and improved ROI for advertisers, advertisers prefer CTV platforms with strong user engagement and data insights, making Roku a prime choice for ad spend
- With a growing advertiser base**, Roku can increase Cost Per Mille (CPM)** due to improved advertisement relevance. Higher CPMs directly drive revenue growth and gross margin expansion, making Roku a long-term winner in the ad-tech space

Effects of Key Metric Growth



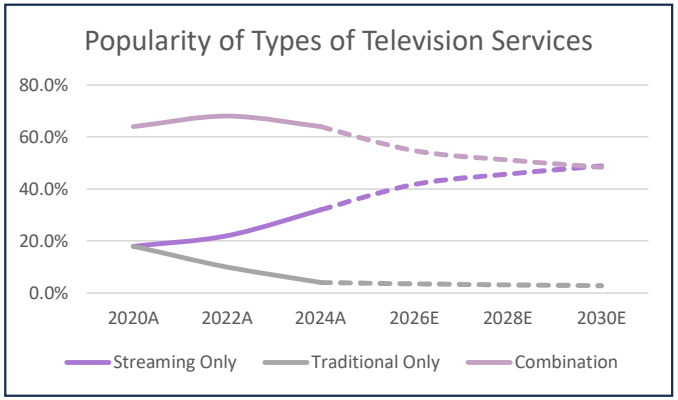
Roku's Rapid CPM Growth is a Leading Indicator of Future Earnings Acceleration

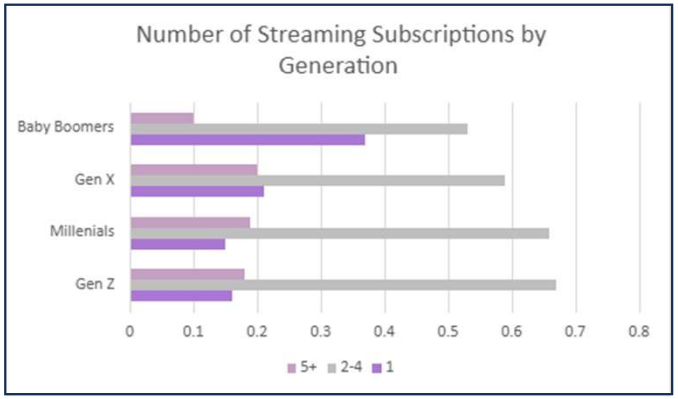
- Roku benefits from operating leverage—as CPMs grow, each additional dollar spent by advertisers converts more efficiently into profit
- Unlike subscription-based streaming platforms (Netflix, Disney+), Roku doesn't rely on content spending to grow—it earns more per user without increasing costs proportionally
- Wall Street often underestimates how increasing CPMs compound into long-term revenue growth. For every $5 increase in CPM, Roku's ad revenue could scale by billions annually
- Higher CPMs also allow Roku to expand internationally while keeping advertising profitability high, making it a long-term secular growth story

Thesis 2: Capitalization on Tailwinds

#1

Streaming is continuing to gain popularity (+56% from 2020 to 2024) which we expect to continue, but at a declining rate





#2

We think this trend will continue due to the age-based popularity of streaming. As newer generations begin watching television, an overwhelming majority will use only streaming

Although Roku's current share price considers the growth of streaming television, we believe that it fails to capture how well Roku is positioned in a market with an estimated **16.5% CAGR**. It ultimately has a more accessible variety of products, which entry-level CTV consumers will tend to purchase, only **adding to its already dominant market share**. Similarly, Roku does not have to compete with giants operating purely in the streaming space and instead **benefits from their success**. Finally, current assumptions include a discount from the risk of tech giants with existing CTV platforms increasing their focus on the space, which we believe is unrealistic considering the significant costs they would need to incur to capture market share from Roku.

Product	Global Market Share	NA Market Share
Roku	**37.0%**	**39.0%**
Samsung Smart TV	13.0%	17.0%
Amazon Fire TV	15.0%	15.0%
Apple TV	12.0%	11.0%
LG	8.0%	11.0%
Other	15.0%	7.0%

#3

Roku is in a perfect position to capitalize on this trend, as they have widespread popularity and offer more accessible products than competitors

Thesis 3: Underestimated Drivers

Revenue Build Year	2025	2026	2027	2028	2029	2030	2031
Populations							
United States							
Population	341.1	342.5	343.8	345.2	346.6	348.0	349.4
% Growth	0.4%	0.4%	0.4%	0.4%	0.4%	0.4%	0.4%
% of Population w/ >$50,000 HI	60.0%	60.0%	60.0%	60.0%	60.0%	60.0%	60.0%
% of Population >15 & <60 yrs	65.2%	65.2%	65.2%	65.2%	65.2%	65.2%	65.2%
Average members per HH	2.5	2.5	2.5	2.5	2.5	2.5	2.5
Average # of TVs per HH	2.5	2.5	2.5	2.5	2.5	2.5	2.5
Potential United States Market	133.0	133.5	134.1	134.6	135.1	135.7	136.2
United Kingdom							
Potential United Kingdom Market	8.7	9.5	10.5	11.5	12.6	13.9	15.3
Canada							
Potential Canada Market	8.1	8.9	9.7	10.7	11.8	12.9	14.2
Mexico							
Potential Mexico Market	1.6	1.6	1.6	1.7	1.7	1.7	1.7
France							
Potential France Market	5.1	5.1	5.1	5.1	5.1	5.1	5.1
Germany							
Potential Germany Market	5.3	5.3	5.3	5.3	5.4	5.4	5.4
Latin America							
Potential Latin America Market	6.9	6.9	7.0	7.0	7.1	7.2	7.2
Total Addressable Market	169.0	171.3	173.8	176.4	179.2	182.3	185.6
Penetration	42.0%	42.5%	43.0%	43.5%	44.0%	44.5%	45.0%
Roku Unit Sales	71.0	72.8	74.7	76.7	78.9	81.1	83.5
Roku Express HD % of Sales	50%	50%	50%	50%	50%	50%	50%
Roku Express HD Sale Price	17.0	17.2	17.3	17.5	17.7	17.9	18.0
Roku Streaming Stick 4k % of Sales	20%	20%	20%	20%	20%	20%	20%
Roku Streaming Stick 4k Sale Price	42.0	42.4	42.8	43.3	43.7	44.1	44.6
Roku Express 4k+ & of Sales	20%	20%	20%	20%	20%	20%	20%
Roku Express 4k+ Sale Price	25.0	25.3	25.5	25.8	26.0	26.3	26.5
Onn. 32 Inch Roku TV % of Sales	10%	10%	10%	10%	10%	10%	10%
Onn. 32 Inch Roku TV Sale Price	120.0	121.2	122.4	123.6	124.9	126.1	127.4
Total Product Sale Revenue	601.6	623.2	646.0	670.0	695.5	722.5	751.3
Average Ad Revenue Per User (ARPU)	39.9	42.1	44.1	46.0	47.6	49.3	51.0
% Growth	*5.50%*	*5.50%*	*4.75%*	*4.25%*	*3.50%*	*3.50%*	*3.50%*
Active Accounts	97.47	110.1	123.4	136.9	150.6	164.2	177.3
% Growth	*14.0%*	*13.0%*	*12.0%*	*11.0%*	*10.0%*	*9.0%*	*8.0%*
Total Advertising Revenue	3891.0	4638.7	5442.1	6297.4	7169.6	8088.4	9041.2
Total Revenue	4492.6	5261.9	6088.0	6967.4	7865.1	8811.0	9792.6
% Growth		17.12%	15.70%	14.44%	12.88%	12.03%	11.14%

Base Case Pro Forma Income Statement For the Fiscal Period Ending	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031 (in MM USD)
Total Revenue	$ 1,128.9	$ 1,778.4	$ 2,764.6	$ 3,126.5	$ 3,484.6	$ 3,896.3	$ 4,492.6	$ 5,261.9	$ 6,088.0	$ 6,967.4	$ 7,865.1	$ 8,811.0	$ 9,792.6
YoY Change	-	*57.5%*	*55.5%*	*13.1%*	*11.5%*	*11.8%*	*15.3%*	*17.1%*	*15.7%*	*14.4%*	*12.9%*	*12.0%*	*11.1%*
Cost Of Goods Sold	633.7	970.2	1356.0	1685.4	1891.6	2160.9	2401.8	2707.8	3011.2	3306.8	3575.5	3829.3	4060.0
% of Revenue	*56.1%*	*54.6%*	*49.0%*	*53.9%*	*54.3%*	*55.5%*	*53.5%*	*51.5%*	*49.5%*	*47.5%*	*45.5%*	*43.5%*	*41.5%*
Gross Profit	495.2	808.2	1408.6	1441.1	1593.0	1735.4	2090.9	2554.1	3076.9	3660.7	4289.6	4981.7	5732.5
Gross Margin	*43.9%*	*45.4%*	*51.0%*	*46.1%*	*45.7%*	*44.5%*	*46.5%*	*48.5%*	*50.5%*	*52.5%*	*54.5%*	*56.5%*	*58.5%*
Selling General & Admin Exp.	295.3	472.7	711.9	1164.5	1261.3	1229.7	1257.9	1394.4	1522.0	1637.3	1730.3	1806.2	1860.6
% of Revenue	*26.2%*	*26.6%*	*25.8%*	*37.2%*	*36.2%*	*31.6%*	*28.0%*	*26.5%*	*25.0%*	*23.5%*	*22.0%*	*20.5%*	*19.0%*
R & D Exp.	265.0	355.8	461.6	769.3	768.0	716.1	629.0	657.7	669.7	661.9	668.5	616.8	538.6
% of Revenue	*23.5%*	*20.0%*	*16.7%*	*24.6%*	*22.0%*	*18.4%*	*14.0%*	*12.5%*	*11.0%*	*9.5%*	*8.5%*	*7.0%*	*5.5%*
Depreciation & Amort.	15.7	36.2	42.6	48.7	70.4	65.0	71.0	78.1	85.8	94.3	103.7	114.0	125.3
% of PP&E	3.7%	7.7%	7.2%	5.1%	9.3%	9.4%	9.3%	9.3%	9.3%	9.3%	9.3%	9.3%	9.3%
Total Operating Expenses	560.3	828.5	1173.5	1933.9	2029.3	1945.9	1958.0	2130.2	2277.5	2393.6	2502.6	2537.0	2524.5
Operating Income	-65.1	-20.3	235.1	-492.7	-436.3	-210.5	132.9	423.9	799.4	1267.1	1787.1	2444.7	3208.0
Operating Margin	*-5.8%*	*-1.1%*	*8.5%*	*-15.8%*	*-12.5%*	*-5.4%*	*3.0%*	*8.1%*	*13.1%*	*18.2%*	*22.7%*	*27.7%*	*32.8%*
Interest Expense	-2.4	-3.4	-3.0	-5.2	-0.7	-0.7	0.0	0.0	0.0	0.0	0.0	0.0	0.0
% of Current Portion of Debt	*13.4%*	*9.6%*	*8.1%*	*9.5%*	*1.0%*	*0.9%*	*1.0%*	*0.9%*	*0.9%*	*0.9%*	*0.9%*	*0.9%*	*0.9%*
EBT	-67.5	-23.7	232.1	-497.9	-437.0	-211.2	132.9	423.9	799.4	1267.1	1787.1	2444.7	3208.0
Income Tax Expense	-1.0	-0.9	-5.8	5.7	10.1	1.5	10.1	10.1	10.1	10.1	10.1	55.9	169.6
Effective Tax Rate	*1.5%*	*4.4%*	*-2.5%*	*-1.2%*	*-2.3%*	*-0.7%*	*-0.7%*	*-0.7%*	*-0.7%*	*-0.7%*	*-0.7%*	*2.3%*	*5.3%*
Net Income	-59.9	-17.5	242.4	-498.0	-709.6	-172.1	122.8	413.8	789.3	1257.0	1777.0	2388.8	3038.4

Revenue Growth

We expect Roku's superior advertising targeting and accuracy to enable them to charge significantly more per impression while simultaneously increasing their number of active accounts, although at a diminishing rate.

Margin Expansion

Roku's advertising infrastructure should now drive down costs, both for the firm and advertisers, and now only requires minor development expenditures to maintain, rather than establish, its competitive edge.

Valuation

ROKU

Bear Case

Gordon Growth Method	
Terminal Value	$6,315
Equity Value	$7,569
Out. Shares	145.2
Share Price	**$52.13**

Bear Case Target: $52.13 x Weight: *10%*

- Roku loses edge on advertising superiority in CTV space
- Roku loses popularity among consumers and has to pay significantly more for certain content rights
- Big tech makes significant push into CTV, consuming Roku's market share

Base Case

Gordon Growth Method	
Terminal Value	$11,468
Equity Value	$16,082
Out. Shares	145.2
Share Price	**$100.33**

Base Case Target: $100.28 x Weight: *65%*

- Consistent growth in streaming tv and ARPU
- Roku's advertising business leads to continuous improvement in gross and operating margins

Bull Case

Gordon Growth Method	
Terminal Value	$13,157
Equity Value	$16,560
Out. Shares	145.2
Share Price	**$114.05**

Bull Case Target: $114.05 x Weight: *25%*

- Roku's partnerships and Data Cloud proves to make significant difference in advertising effectiveness
- Demand for Roku's advertisement spikes leading to an increase in CPM (Cost per 1000 impressions)

Assumptions

Gordon Growth Method	
WACC	14.52%
Terminal Growth Rate	3.25%
Net Debt	$1,514
Beta	2.12

Weighted Price Target

$98.91

22.0%Upside

Holding Period

9 Months

Catalyst Path

ROKU

2025 Earnings 1Q: 4/23 2Q: 7/30	2025 Earnings 3Q: 10/28 4Q: 2/11/2026	Data Cloud Efficiency
EBIT Beat Expectations ➢ **Revenue Growth:** Stronger than expected platform revenue from advertising partnerships ➢ **Margin Expansion:** Cost efficiencies, better ad pricing ➢ **Advertising Spend Recovery:** Industry wide rebound in ad budgets	**EBIT Beat Expectations** ➢ **Sports Partnerships:** More premium advertisement slots during live sports events will be a growth driver ➢ **Data Cloud Recognized:** Industry will start to take notice of Roku's improved ad targeting	**Sustained Margin Expansion** ➢ **Higher CPMs:** Data driven ad-targeting increases cost per 1000 impressions. ➢ **Improved Monetization:** Improved advertisement relevance means Roku can place more premium ads in The Roku Channel

Short-Term → Mid-Term → Long-Term

Risks & Mitigants

Risks:	Mitigants:
Competition From Tech Giants ➢ Amazon, Google, Apple have vast resources to invest in streaming platforms ➢ Competitors can leverage their ecosystems to attract users	➢ Roku's platform agnostic approach allows it to partner with all content providers ➢ First mover advantage and strong brand recognition in the CTV Space ➢ Tech giants are primarily focused on broader economic plays rather than dominating CTV platform market
Profitability Concerns ➢ Focus on growth over profitability ➢ Content and R&D investment could apply pressure to Margins	➢ Expanding high-margin advertising and services revenue through OneView and new Roku Data Cloud ➢ Increasing take rates from content distribution and growing ARPU
Economic Sensitivity and Ad Spend Cyclicality ➢ Advertising revenue is highly cyclical and vulnerable to downturns	➢ Secular shifts to CTV advertising continues as brands move further away from traditional linear TV ➢ Diversification of revenue streams with alternative monetization (subscriptions commissions, licensing, physical TV Sales)

Closing Thoughts

Rapidly Shifting Market

The transition from broadcast and cable to streaming combined with a fragmented CTV market creates an ideal investment environment. Similarly, the market is having difficulty accurately predicting Roku's future growth due to its past sporadic expansion and consistent rollout of new partnerships and features, which opens the door for a mispricing in the form of a revenue and margin underestimation.

Undervalued Changes

Roku will increase revenue through improving both quantity and price of impressions, which will result in rapid growth. Expectations currently undervalue the quality of Roku's advertisements in terms of exposure time and accuracy, and we believe Roku will re-price accordingly in the near future. Similarly, they will be able to improve margins as an increasingly large proportion of revenue is generated from advertising.

Near-Term Adjustment

We believe that Roku will consistently beat earnings estimates for the first three quarters of 2025, which will result in the market reevaluating its current price. Its Data Cloud and partnerships will begin to generate revenue growth that exceeds expectations in mid-late 2025. Past this point, we do not believe that Roku's share price will have any relevant catalysts until it reveals a major decision or innovation.

Appendix: Bear/Base/Bull DCF Valuation

Bear Case DCF Model For the Year Ending	2024	2025	2026	2027	2028	2029	2030	2031
								(in MM USD)
Revenue	3896.3	4241.6	4558.8	5002.3	5481.1	5996.8	6550.7	7144.1
% Growth Rate	11.81%	8.86%	7.48%	9.73%	9.57%	9.41%	9.24%	9.06%
EBIT	-210.5	50.7	267.1	503.0	753.7	1046.0	1384.2	1737.2
% EBIT Margin	-5.4%	1.2%	5.9%	10.1%	150.0%	17.4%	21.1%	24.3%
(-) Tax Expense	1.5	10.1	10.1	10.1	10.1	10.1	24.7	48.4
(+) Depreciation & Amoritization	65.0	71.0	78.1	85.8	94.3	103.7	114.0	125.3
(-) Capital Expenditures	6.1	68.6	75.5	83.0	91.3	100.4	110.5	121.5
(-) Change in Net Working Capital	4.2	4.3	4.4	4.5	4.5	4.6	4.7	4.8
Free Cash Flow	-157.3	38.8	255.2	491.3	742.0	1034.5	1358.3	1687.8
Present Value of FCF	-157.3	33.9	194.6	327.0	431.3	525.1	602.0	653.2

Gordon Growth Valuation	
Sum of DFCFs	2767.1
Terminal Growth Rate	3.00%
WACC	14.00%
Final Year FCF	1687.8
Terminal Value	6315.7
Enterprise Value	9082.8
(+) Net Debt	-1513.8
Equity Value	7569.0
Shares Outstanding	145.2
Implied Price per Share	**52.13**

Base Case DCF Model For the Year Ending	2024	2025	2026	2027	2028	2029	2030	2031
								(in MM USD)
Revenue	3896.3	4492.6	5261.9	6088.0	6967.4	7865.1	8811.0	9792.6
% Growth Rate	11.81%	15.31%	17.12%	15.70%	14.44%	12.88%	12.03%	11.14%
EBIT	-210.5	132.9	423.9	799.4	1267.1	1787.1	2444.7	3208.0
% EBIT Margin	-5.4%	3.0%	8.1%	13.1%	18.2%	22.7%	27.7%	32.8%
(-) Tax Expense	1.5	10.1	10.1	10.1	10.1	10.1	55.9	169.6
(+) Depreciation & Amoritization	65.0	71.0	78.1	85.8	94.3	103.7	114.0	125.3
(-) Capital Expenditures	6.1	68.6	75.5	83.0	91.3	100.4	110.5	121.5
(-) Change in Net Working Capital	47.3	48.2	49.2	50.2	51.2	52.2	53.3	54.3
Free Cash Flow	-200.4	77.0	367.2	741.9	1208.8	1728.0	2339.0	2987.9
Present Value of FCF	-200.4	67.2	280.0	493.9	702.7	877.1	1036.7	1156.3

Gordon Growth Valuation	
Sum of DFCFs	4613.8
Terminal Growth Rate	3.25%
WACC	14.00%
Final Year FCF	2987.9
Terminal Value	11468.6
Enterprise Value	16082.4
(+) Net Debt	-1513.8
Equity Value	14568.6
Shares Outstanding	145.2
Implied Price per Share	**100.33**

Bull Case DCF Model For the Year Ending	2024	2025	2026	2027	2028	2029	2030	2031
								(in MM USD)
Revenue	3896.3	4492.6	5260.3	6147.9	7138.2	8265.9	9543.4	10885.1
% Growth Rate	11.81%	15.31%	17.09%	16.87%	16.11%	15.80%	15.45%	14.06%
EBIT	-210.5	132.9	423.7	808.1	1300.4	1883.4	2657.4	3579.9
% EBIT Margin	-5.4%	3.0%	8.1%	13.1%	18.2%	22.8%	27.8%	32.9%
(-) Tax Expense	1.5	10.1	10.1	10.1	10.1	10.1	60.8	189.3
(+) Depreciation & Amoritization	65.0	71.0	78.1	85.8	94.3	103.7	114.0	125.3
(-) Capital Expenditures	6.1	68.6	75.5	83.0	91.3	100.4	110.5	121.5
(-) Change in Net Working Capital	47.3	48.2	49.2	50.2	51.2	52.2	53.3	54.3
Free Cash Flow	-200.4	77.0	367.0	750.6	1242.2	1824.3	2546.8	3340.1
Present Value of FCF	-200.4	67.2	279.8	499.7	722.1	926.0	1128.8	1292.6

Gordon Growth Valuation	
Sum of DFCFs	4916.2
Terminal Growth Rate	3.50%
WACC	14.00%
Final Year FCF	3340.1
Terminal Value	13157.6
Enterprise Value	18073.9
(+) Net Debt	-1513.8
Equity Value	16560.1
Shares Outstanding	145.2
Implied Price per Share	**114.05**